CRISTIAN ARCIDIACONO

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COVER LETTER

Dear Members of the Search Committee,

I am a Ph.D. candidate in the joint Economics and Macro-Finance program at the University of Bern, supervised by Professor Pierpaolo Benigno. While my CV lists what I have done, this letter is about what I would bring as an Assistant Professor of Economics at MIT: a research agenda on inflation and the scarcity of safe assets, a network that spans academic and policy institutions and a path into economics that began outside it.

My research explores what drives inflation and what makes bonds special, and one question connects the two: how does scarcity in individual markets interact with conditions shared across the economy? My job market paper, *Labor Market Shortages and the Phillips Curve: Identification under Heterogeneous Exposure to Common Shocks*, investigates whether the cross-sectional designs used to estimate the Phillips curve identify its slope. I show that they do not when units differ in their exposure to common shocks: the estimate conflates the response to a unit's own tightness with the response to tightness shared across the economy. I develop a two-step extension of interactive fixed effects that separates the two under testable conditions and apply it to firms' reported labor shortages across euro area sectors and countries. Inflation responds about five times more strongly to synchronized shortages than to micro-local ones, and the usual design recovers only a third of the local response. The paper received the 2026 INFER Best PhD Paper Award and I will present it at the ASSA Annual Meeting in January 2027.

A second strand of my research focuses on to the scarcity of safe assets. *Dangerous Liaisons? Debt Supply and Convenience Yield Spillovers in the Euro Area*, with Matthieu Bellon and Matthias Gnewuch, asks what happens to a sovereign bond's convenience yield when other countries issue more debt. Using high-frequency identification around debt management announcements, we find that German and French issuance lowers convenience yields across the euro area, one-for-one for similarly safe issuers and less for riskier ones, as a model in which safe bonds are close substitutes predicts. The paper is accepted at the *Review of Finance* and received the 2024 ECMI Best Paper Award.

Beyond my research, I bring a network that spans academic and policy institutions. Over the past four years I have worked in six cities and four countries, the last of them London, where I spent the 2025–26 academic year visiting the LSE, hosted by Professor Ricardo Reis. Discussions there led me to the two-step design that now anchors the job market paper. Instead, earlier research positions at the Bank for International Settlements and the European Stability Mechanism taught me how a question changes when an institution must act on its answer, and the economists I met have become a network I rely on

for feedback, discussion and co-authorship.

I also bring the perspective of an economist shaped by more than seminar rooms. I have been at the Military Academy of Modena, one of 95 admitted from over 10,000 applicants and after it, while completing my bachelor's degree, I ran the customer care department of a Milanese start-up for three years, and that job funded my master's in Geneva. In those same years, an internship at BlackRock taught me how to present an idea to people whose decisions depend on it, a style you will recognize in my job market talk. Through these experiences, I developed a sense of ownership over what I deliver and I learned to work under pressure and turn ideas into results; I have carried all of that into research.

Finally, I have been teaching online for nearly three years, a format that universities are increasingly developing. At UniDistance Suisse, a distance-learning university, I teach exercise sessions in French in "International Finance" and "Money and Finance", and supervise bachelor's theses. Without a physical classroom, I have learned to plan each session carefully, prepare materials students can revisit, and check their understanding regularly. Many of my students work alongside their studies or entered university through non-traditional paths. As a first-generation student who worked through my own degrees I relate to them and, helping them progress, is among the most rewarding parts of my work.

Thank you for considering my application. I would welcome the opportunity to discuss my research and what I could contribute to MIT.

Sincerely,

Cristian Arcidiacono